

CITY OF WHITTIER

Annual Development Impact Fee Report

Fiscal Year Ended June 30, 2025

December 16, 2025

Prepared by:
NBS
for the
CITY OF WHITTIER



City of Whittier



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Octavio Cesar Martinez, Mayor Pro Tem

Fernando Dutra, Councilmember

Mary Ann Pacheco, Councilmember

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Paymaneh Maghsoudi, Director of Library

Virginia Santana, Director of Parks, Recreation and Community Services

Aviv Bar, Chief of Police

Yolanda Martinez, Director of Human Resources and Risk Management

Administrative Team

Conal McNamara, City Manager

Shannon DeLong, Assistant City Manager

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1. DEVELOPMENT IMPACT FEE REPORT

The California Mitigation Fee Act (Government Code Sections 66000 et seq.) mandates procedures for administration of impact fee programs, including collection and accounting, reporting, and refunds. Regarding reporting requirements, the Mitigation Fee Act requires annual reporting for each impact fee fund, and a separate five-year reporting process. This report meets the requirements described in 1.1 Annual Report, below. A combined Annual and Five-Year Report was completed in 2023 and will next be provided in 2028.

1.1 Annual Report

Section 66006 (b) (1) requires that once each year, within 180 days of the close of the fiscal year, the local agency must make available to the public the following information for each separate account established to receive impact fee revenues:

1. A brief description of the type of fee in the account or fund; *(report section 2)*
2. The amount of the fee; *(report section 2 and attachment)*
3. The beginning and ending balance of the account or fund; *(report section 3)*
4. The amount of the fees collected, and interest earned; *(report section 3)*
5. Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees; *(report section 4)*
6. Identification of the approximate date by which the construction of a public improvement will commence, if the City determines sufficient funds have been collected to complete financing of an incomplete public improvement; An identification of each public improvement identified in a previous report and whether construction began on the approximate date noted in the previous report. For a project identified for which construction did not commence by the approximate date provided in the previous report, the reason for the delay and a revised approximate date that the local agency will commence construction. *(report section 4)*
7. A description of each inter-fund transfer or loan made from the account or fund, including interest rates, repayment dates, and a description of the improvement on which the transfer or loan will be expended; *(report section 5)*
8. The amount of any refunds or allocations made pursuant to Section 66001, paragraphs (e) and (f). *(report section 6)*

The annual report must be reviewed by the City Council at its next regularly scheduled public meeting, but not less than 15 days after the statements are made public, per Section 66006 (b) (2).

Section 66013(d) has similar requirements for utility capacity charges in that, within 180 days after the close of each fiscal year, the local agency must make available to the public the following information:

1. A description of the charges deposited in the fund; *(report section 2)*
2. The beginning and ending balance of the fund and the interest earned from investment of moneys in the fund; *(report section 3)*
3. The amount of charges collected in that fiscal year; *(report section 3)*
4. An identification of:
 - a. Each public improvement on which charges were expended and the amount of expenditure for each improvement, including the percentage of the total cost of the public improvement that was funded with those charges if more than one source of funding was used; *(report section 4)*
 - b. Each public improvement on which charges were expended that was completed during that fiscal year; *(see report section 4)*
 - c. Each public improvement that is anticipated to be undertaken in the following fiscal year; *(report section 4)*
5. A description of each interfund transfer or loan made from the capital facilities fund, including the public improvement on which the transferred or loaned charges are or will be expended and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the fund will receive on the loan. *(see report section 5)*

1.2 Five-Year Report

Prior to 1996, The Mitigation Fee Act required that a local agency collecting impact fees was required to expend or commit impact fee revenue within five years or make findings to justify a continued need for the money, otherwise those funds had to be refunded. SB 1693, adopted in 1996 as an amendment to the Mitigation Fee Act, changed that requirement in material ways.

Now, Section 66001 (d) requires that, for the fifth fiscal year following the first deposit of any impact fee revenue into an account or fund as required by Section 66006 (b), and every five years thereafter, the local agency shall make all of the following findings for any fee revenue that remains unexpended, whether committed or uncommitted:

1. Identify the purpose to which the fee will be put;
2. Demonstrate the reasonable relationship between the fee and the purpose for which it is charged;
3. Identify all sources and amounts of funding anticipated to complete financing of incomplete improvements for which impact fees are to be used;
4. Designate the approximate dates on which the funding necessary to complete financing of those improvements will be deposited into the appropriate account or fund.

Those findings are to be made in conjunction with the annual reports discussed above. If such findings are not made as required by Section 66001, the local agency could be required to refund the moneys in the account or fund, per Section 66001 (d).

Once the agency determines that sufficient funds have been collected to complete financing on incomplete improvements for which impact fee revenue is to be used, it must, within 180 days of that determination, identify an approximate date by which construction of the public improvement will be commenced (Section 66001 (e)). If the agency fails to comply with that requirement, it must refund impact fee revenue in the account according to procedures specified in Section 66001 (d).

2. CURRENT IMPACT FEES

2.1 Types of Impact Fees and Impact Fee Funds

The fees documented in the body of this Annual Development Impact Fee Report (Report) include those listed below. The revenue and expenditures for each fee type are tracked by the City in separate funds.

Table 1. Impact Fees and Impact Fee Funds

Fund No.	Fund/Fee Name	Purpose and Use of the Fee
100-245021	Park Land Acquisition and Park Impact Fee	The purpose of this impact fee is to finance the acquisition of park land and construction of recreation and facility improvements needed to serve new development. These impact fees are for residential dwellings not requiring the subdivision of a parcel. Fees collected shall be used only to finance the acquisition of parkland and construction of facility improvements described or identified in the <i>"City of Whittier Library Facilities and Collection and Park-Related Facilities Master Facilities Plan and Development Impact Fee Calculation and Nexus Report"</i> , (Revenue & Cost Specialists LLC, April 6, 2009)(Nexus Report). This Nexus Report identifies planned improvements for many types of parks designations including: Mini, Pocket, Local, Neighborhood, Community, Sport, and Special Use (p. 24).
100-245022	Aquatics Center Facilities Fee	The purpose of this impact fee is to finance improvements to the community aquatics center facilities needed to serve new development. Fees collected shall be used for capital improvements as described or identified in the <i>"City of Whittier Library Facilities and Collection and Park-Related Facilities Master Facilities Plan and Development Impact Fee Calculation and Nexus Report"</i> , (Revenue & Cost Specialists LLC, April 6, 2009) (Nexus Report). This Nexus Report indicates the fee will be "...spent on the construction of additional aquatics centers...not rehabilitation of any existing aquatic center" (p. 17).

Fund No.	Fund/Fee Name	Purpose and Use of the Fee
100-245023	Public Use Facilities Impact Fee	The purpose of this impact fee is to finance additions and/or improvements to public use facilities needed to serve new development. Public facilities as defined by the impact fee study are those that are made available specifically for the residential community's use and differ from general facilities which are used by City staff to undertake their municipal service duties. Fees collected shall be used for capital improvements as described or identified in the <i>"City of Whittier Library Facilities and Collection and Park-Related Facilities Master Facilities Plan and Development Impact Fee Calculation and Nexus Report"</i>, (Revenue & Cost Specialists LLC, April 6, 2009) (Nexus Report). This Nexus Report indicates the fee will be "...spent on the construction of additional community center space...not rehabilitation of any existing public use facility" (p. 12).
100-245024	Library and Collections Fee	The purpose of this impact fee is to finance expanding library facilities, books and other collections expansion needed to serve new development. Fees collected shall be used as described or identified in the <i>"City of Whittier Library Facilities and Collection and Park-Related Facilities Master Facilities Plan and Development Impact Fee Calculation and Nexus Report"</i>, (Revenue & Cost Specialists LLC, April 6, 2009) (Nexus Report). This Nexus Report indicates the fees will be "...expended on expansion of the amount of library facility space in the two libraries and the number of collection items in the system's collection" (p. 39).
420-241240	Water Connection Fee	City Resolution 2019-27 established the City's Water System Connection Fee, as supported by the <i>"Whittier Utility Authority, Water Rate and Fee Study, Final Report"</i>, (Stantec, May 16, 2019). The fees were later updated via Resolution 2022-84, adopted on October 11, 2022. The Water Fee will help maintain adequate levels of water service within the City of Whittier. New developments in the City will increase the demand for these services and may require the City to expand its capital facilities for water. The Water Fee will fund construction of water system facilities necessary to accommodate new residential and commercial development. The Water Fee will fund the construction of water infrastructure facilities, which primarily include water supply and water transmission facilities

Fund No.	Fund/Fee Name	Purpose and Use of the Fee
410-241240	Sewer Connection Fee	City Resolution 2019-27 established the City’s sewer connection fees, as supported by the “Whittier Utility Authority, Water Rate and Fee Study, Final Report”, (Stantec, May 16, 2019). The Sewer Fee will help maintain adequate levels of Sewer service within the City of Whittier. New development in the City will increase the demand for these services and may require the City to expand its existing facilities. The Sewer Fee will ensure new customers pay for their share of the existing system and fund construction of sewer system facilities necessary to accommodate new residential and commercial development. Use of the connection fees shall be limited to funding sewer system infrastructure to serve future development within the City. The Sewer Fee will fund the construction of sewer infrastructure, which primarily include sewer collection facilities.

2.2 Current Impact Fees

Development impact fees (DIFs) in the City of Whittier are one-time charges levied on new development in Whittier to fund various infrastructure, facilities, vehicles, and equipment. Tables 2 and 3 on the following pages provide the list of impact fees charged by the City in Fiscal Year 2025, per Resolutions 8290, 2019-27, and 2022-84:

Table 2. General Facilities Impact Fees Schedule Fiscal Year 2025

Fee Name	Land Use	FY 2025 Fee Amount
Park Land Acquisition and Impact Fee	Detached Dwelling	\$5,667 (per Dwelling unit)
	Attached Dwelling	\$4,728 (per Dwelling unit)
	Mobile Home Dwelling	\$3,082 (per Dwelling unit)
	Assisted Care Living Dwelling	\$3,038 (per Dwelling unit)
Aquatics Center Facilities Fee	Detached Dwelling	\$46 (per Dwelling unit)
	Attached Dwelling	\$38 (per Dwelling unit)
	Mobile Home Dwelling	\$25 (per Dwelling unit)
	Assisted Care Living Dwelling	\$25 (per Dwelling unit)

Fee Name	Land Use	FY 2025 Fee Amount
Public Use Facilities Impact Fee	Detached Dwelling	\$963 (per Dwelling unit)
	Attached Dwelling	\$803 (per Dwelling unit)
	Mobile Home Dwelling	\$524 (per Dwelling unit)
	Assisted Care Living Dwelling	\$516 (per Dwelling unit)
Library and Collections Fee	Detached Dwelling	\$1,017 (per Dwelling unit)
	Attached Dwelling	\$848 (per Dwelling unit)
	Mobile Home Dwelling	\$553 (per Dwelling unit)
	Assisted Care Living Dwelling	\$288 (per Dwelling unit)

Table 3. Water and Sewer Connection Fees Schedule Fiscal Year 2025

Fee Name	Development Area	FY 2025 Fee Amount
Water Connection Fee	City-wide (per meter size)	
	¾"	\$2,571 per meter size
	1"	\$4,284 per meter size
	1 ½"	\$8,572 per meter size
	2"	\$17,140 per meter size
	3"	\$41,140 per meter size
	4"	\$71,995 per meter size
	6"	\$157,702 per meter size
	8"	\$274,263 per meter size
	Source: Resolutions 2022-84	
Sewer Connection Fee	City-wide (per meter size)	
	¾"	\$1,797 per meter size
	1"	\$3,001 per meter size
	1 ½"	\$5,985 per meter size
	2"	\$9,579 per meter size
	3"	\$17,972 per meter size
	4"	\$29,959 per meter size
	6"	\$59,901 per meter size
	8"	\$95,845 per meter size
	10"	\$137,792 per meter size
	Source: Resolution 8865 & 2019-27	

3. FINANCIAL SUMMARY REPORT

The following financial summary provides an annual statement of revenues, and changes in fund balance for each impact fee fund, for the Fiscal Year End June 30, 2025. Figures shown in the table below are unaudited as of the date of this report.

Table 4. Financial Summary Fiscal Year 2025

Fund No.	100-245021	100-245022	100-245023	100-245024	420-241240	410-241240
	Park Impact	Aquatics Impact	Public Use Facilities Impact	Library Impact	Water Connection	Sewer Connection
Description						
REVENUES						
Fees	15,123	122	2,569	2,767	51,810	-
Interest	71,891	1,579	2,337	2,165	149,520	-
Total Revenues	87,014	1,701	4,906	4,932	46,958	-
Fund Balance, Beginning of the Year¹	2,504,305	55,314	71,746	66,854	2,897,692	157,839
Fund Balance, End of the Year	2,591,319	57,015	76,652	71,786	2,944,650	157,839

¹ Beginning & Ending Fund Balance matches Impact Fees Detail FY2025 report provided by the City's Finance Department

4. PUBLIC IMPROVEMENTS

This section of the Annual Report identifies each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the percentage of the cost of the public improvement that was funded with fees. There were no reported expenditures in the City's Financial Statement for Public Improvements for FY 24/25.

Government Code Section 66006 (b)(1)(F)(i) also requires annual identification of the approximate date by which the construction of a public improvement will commence, if the City determines sufficient funds have been collected to complete financing of an incomplete public improvement. For the Aquatics, Public Use, and Library impact fee funds, there is no determination of sufficient funds available to complete financing of incomplete public improvements.

For the Park Impact Fund 100-245021, prior reports identified the following public improvement projects that had sufficient impact fee funds available to complete, as follows:

Project: Parkland Acquisition of 1st Ave & Development of Park Space

- Project Start: Fiscal Year 2022-23
- Original Estimated Project Finish: Fiscal Year 2025/26
- Total Project Funding (acquisition): \$2,385,064, 100% Development Impact Fee revenues
- Status as of 6/30/25: Total allocated project funding from 2022-23 was used to acquire the land. The remaining project for development of the park space is in the pre-construction phase and development costs of the park have yet to be estimated. Therefore, sufficient funds have not yet been collected to complete financing of the development of the park space. Once construction costs have been determined and sufficient funds are available, a project schedule for development of the park space will be determined.

Project: Parkland Acquisition of Whittier Blvd & Development of Park Space

- Project Start: Fiscal Year 2022-23
- Original Estimated Project Finish: Fiscal Year 2025/26
- Total Project Funding (acquisition): \$840,000, 100% Development Impact Fee revenues
- Status as of 6/30/25: Total allocated project funding from 2022-23 was used to acquire the land. The remaining project for development of the park space is in the pre-construction phase and development costs of the park have yet to be estimated. Therefore, sufficient funds have not yet been collected to complete financing of the development of the park space. Once construction costs have been determined and sufficient funds are available, a project schedule for development of the park space will be determined.

The City has determined that there are sufficient funds to complete financing of the renovation of Parnell Park, of which Development Impact Fees will provide partial funding.

Project: Parnell Park Renovation

- Project Start: Fiscal Year 2025-26
- Estimated Project Finish: Fiscal Year 2027-28
- Total Project Funding: \$23,417,754, 11.5% Development Impact Fee revenues, 88.5% other financing sources
- Status as of 6/30/25: Remaining Development Impact Fee funds not used on the acquisition of park lands above will be reallocated to the Parnell Park Renovation project as the project is higher priority and currently in the construction phase.

Government Section 66013(d) has similar requirements for water and sewer connection fees, to identify each public improvement that is anticipated to be undertaken in the following fiscal year. The following two tables show planned capital improvement projects for Fiscal Year 2025-26. It should be noted that these projects are funded primarily by water and/or sewer rate revenues and may be partially supplemented using connection fees.

Table 6. Planned Water Improvements Fiscal Year 2025-26

Capital Improvement Program	FY25/26 Project Cost	Estimated Start Date	Estimated Completion Date
WMP Central Group No. 1 - 577 Zone 4" Water Main Replacement	\$ 5,030,000	2025	2026
WMP Rideout Reservoir Replacement	\$ 1,512,000	2025	2027
Heli Hydrant Project	\$ 1,122,522	2025	2026
Well Rehab	\$ 142,212	2026	2026
PFAS Pilot Trmt	\$ 347,681	2025	2025
Groundwater Treatment System	\$ 680,000	2026	2028
Large Valve Replacement	\$ 142,212	2026	2026
Cylindrical Pipe Replacement	\$ 386,971	2026	2026
CIP Citrus Grove Transmission Main Replacement	\$ 1,133,000	2025	2026
CIP Greenleaf Avenue	\$ -	2026	2027
CIP City Yard Improvement	\$ 290,023	2026	2026
CIP Palm Avenue	\$ 900,000	2024	2025
CIP Bronte and Vicinity Water Main Replacement Project	\$ 1,760,700	2025	2026
CIP Summit Drive Water Main Replacement	\$ 907,500	2025	2026

Table 7. Planned Sewer Improvements Fiscal Year 2025-26

Capital Improvement Program	FY25/26 Project Cost	Estimated Start Date	Estimated Completion Date
Sewer Maintenance Program	\$ 3,689,622	2025	2026

5. INTERFUND LOANS

The Mitigation Fee Act requires a description of each inter-fund transfer or loan made from the account or fund, including interest rates, repayment dates, and a description of the improvement on which the transfer or loan will be expended. There were no new or existing interfund transfers or loans made from or between impact fee fund accounts in Fiscal Year 2025.

6. REFUNDS

The refunding requirements for the Mitigation Fee Act are summarized as follows:

Refunds under the Mitigation Fee Act: If the City determines that sufficient funds have been collected to complete financing on incomplete improvements for which impact fee revenue is to be used, it must, within 180 days of that determination, identify an approximate date by which construction of the public improvement will be commenced (Government Code Section 66001 (e)). If the agency fails to comply with that requirement, it must refund impact fee revenue in the account according to procedures specified in Section 66001 (d).

As discussed in Section 4 of this report, determinations regarding sufficient funds collected to complete incomplete improvements are provided by the City's annual Capital Improvement Plan. Other than those listed above in Section 4 for which approximate construction dates have been provided, the City has not made a determination that sufficient funds have been collected to complete financing of any other incomplete public improvements. No refunds of impact fee monies were made or required.

Disclaimer: In preparing this report and any analysis and findings included herein, NBS has relied on several principal assumptions and considerations regarding financial matters, conditions and events that occurred or may occur in the future. This information and assumptions, including the City's budgets, financial reports, capital project data, and other information were provided by sources we believe to be reliable; however, NBS has not independently verified such information and assumptions. While we believe NBS' use of such information and assumptions is reasonable for the purpose of this report, some assumptions will invariably not materialize as stated herein and may vary due to unanticipated events and circumstances.